

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

**IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING
INTERNATIONAL, LLC**
Complainants

VERSUS

DB SCHENKER USA, INC.
Respondent

RESPONDENT'S REPLY BRIEF

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COMES NOW, Respondent, Schenker, Inc., incorrectly named as DB Schenker USA, Inc., (“Schenker”), by and through its undersigned counsel, and in accordance with 46 C.F.R. § 502.214, respectfully submits its Reply Brief and states as follows:¹

I. PRELIMINARY STATEMENT

Complainants’ Opening Brief (improperly titled “Complainants’ Post-Hearing² Brief”) consists of merely ten (10) pages (inclusive of the table of contents, table of authorities, certificate of service, and proposed findings of facts), noticeably sparse in terms of facts or admissible evidence and completely devoid of any legal support whatsoever. Rather, Complainants merely make conclusory, unsupported statements and expect Respondent (and the Presiding Officer) to comb through their multiple appendices to find evidence in support of the claims (since Complainants failed to point to any in their briefing). The Brief can be summed up into one simple argument—Schenker’s conduct with respect to a handful of shipments is somehow enough to satisfy Complainants’ burden of proof that Schenker violated 46 U.S.C. § 41102(c).

What is glaringly absent from Complainants’ Opening Brief is: (1) any precedent to support that a handful of incidents such as those described by Complainants is sufficient to find that Schenker violated any part of the Shipping Act; (2) the identification of any practice or procedure which caused any alleged delay or charge; (3) citations any evidence in support of the claims,

¹ For ease of reference, Complainants’ Proposed Findings of Fact shall be herein referred to as “CPFF”; Respondent’s Response to Complainants’ Proposed Findings of Fact shall be herein referred to as “RCPFF”; and Respondent’s Proposed Findings of Fact shall be herein referred to as “RPFF”.

² There was no hearing held in this matter, which was obviously not known by the AI used to generate the Opening Brief. The Brief contains multiple reference to a hearing which never took place and also includes a cease and desist order in their request for relief despite this request not being included in their original verified complaint. *See* Complainants’ Br. at 6.

including the entitlement to, or amount of, damages claimed and further that Schenker's actions/inactions are the proximate cause of those damages.

Complainants' Proposed Findings of Fact is similarly lacking, consisting of merely twelve (12) "facts", none of which provide any support to any of the conclusory assertions contained in the Opening Brief. Further, none of the facts provide an exact citation to evidence but rather an entire document or even set of documents. Additionally, Complainants' Proposed Findings of Fact also fails to assert any statements at all with respect to the damages sought. The only indirect reference to damages is a single proposed fact relating to detention and demurrage fees – which Complainants have conceded were neither assessed by Schenker nor paid by Complainants.

Complainants' failure to present any coherent claim is not at all surprising given the Complainants' behavior throughout this proceeding. Complainants have continuously shown an utter disregard for the Commission Rules and the Orders entered by the Presiding Officer in this matter. Complainants did not serve any discovery at all and were chronically late with the submission of every paper in this proceeding – including its Opening Brief, which was not only late but had to be re-submitted three (3) times.³

First, Complainants' Initial Disclosures were due on or before December 5, 2025. However, it was not until December 23, 2025, that International Wood Group of SC ("IWG") (on behalf of both Complainants) filed the Initial Disclosures—which were deficient—for the following reasons as set forth in Schenker's Motion to Compel Initial Disclosures⁴:

³ It is readily acknowledged that Complainants do not have counsel. However, this is no excuse for their belated filings and complete disregard for the Rules. Further, the undersigned, in the utmost good faith, actually spoke with IWG at length regarding the necessary procedures, including the need to sign all submissions – which were surprisingly ignored several times.

⁴ The Motion to Compel was filed on December 24, 2025. However, it was never accepted for filing and does not appear on the docket. Therefore, Schenker's Motion to Compel is included in

1. The Initial Disclosures were not signed. Rather, it was submitted in Word format and was unsigned, with only the statement that same was respectfully submitted by “IWG International Wood Group of SC Honest Trading International LLC”.
2. There is no information, including addresses, titles or even names of employers for the majority of the disclosure witnesses.
3. There is no itemization of damages. Rather, there is a lump damage sum claimed for \$803,997.98 – with list of damages that, when added up, could range anywhere from \$100,000 to \$5 million.
4. There is no distinction as to which damages are claimed by which Complainant.

IWG cited “unforeseen personal circumstances” as the reason for its delay in providing its Initial Disclosures. *See* RX0012 (Email string regarding Initial Disclosures). To be clear, the undersigned reached out to Complainants to request a good faith conference before filing any motion to compel. IWG agreed to have a call, but stated that Honest Trading International LLC (“Honest Trading”) could not be reached and could not attend. Then IWG filed its Initial Disclosures with the Commission. When it was pointed out that IWG does not represent Honest Trading and could not sign on its behalf, IWG responded that “[n]o document was signed on their behalf. Any document signed was by a representative of Honest Trading.” RX0016 (Email string regarding Signing Initial Disclosures). This was stated despite the fact that (a) Honest Trading could not be reached for a conference and (b) Honest Trading’s principal did not speak any English.

Further, despite being served with discovery requests in December of 2025, IWG did not

Schenker’s Appendix as RX0006- RX0011 (Schenker’s Motion to Compel Initial Disclosures).

request an extension until after they were due and the undersigned had reached out requesting a pre-motion conference on the issue. Weeks later, on January 20, 2026, IWG responded only “will work to get this sent out.” The undersigned followed up several times as to the status of the responses. On January 29, 2026, IWG advised that the documents would be provided that afternoon. On February 2, 2026, having not received any documents or responses, the undersigned followed up. After two (2) emails and two (2) calls, IWG finally responded – on February 3, 2026 – that that there had been a winter storm over the weekend and the internet had been down since that morning. No explanation was provided as to how this impacted the production of the documents which were promised to be produced five (5) days earlier. IWG responded later that day on behalf of both itself and Honest Trading – providing responses to requests for production (which contained embedded links to documents which could not be accessed) and unsworn interrogatory responses. The undersigned then followed up – six (6) times. Complainants finally served their responses on February 5, 2026. With a discovery deadline of February 19, 2026, Complainants left Schenker with a little more than two weeks to review all of the discovery and complete all the necessary depositions.⁵

Then it came time for the depositions. Witness Brian Shum did not bother to appear despite being properly noticed. The principal of Honest Trading – Mr. Zhong – was never disclosed as a witness with knowledge. His personal assistant, Arthur Ngai, was deposed, and, of course, he claimed to know nothing about the case. Mr. Ngai was asked 3 times for availability to depose Mr. Zhong. After the third time, Mr. Ngai responded only that Mr. Zhong did not speak any English and was in China and thus unavailable. Yet somehow Mr. Zhong understood his interrogatory

⁵ It is also noted that the documents produced did not contain Bates stamp numbering only complicating Schenker’s ability to review and prepare same for the depositions.

responses...

Craig Swilley – the principal of IWG – was set to be deposed on February 17, 2026. However, in the course of the other depositions which had been taken, it was learned that several documents were not included in the discovery response production – including all text messages between IWG and Honest Trading (which several witnesses testified existed) and the agreements between IWG, Honest Trading, and Big Brother USA LLC (“Big Brother”) (Honest Trading’s illegal sister company). As such, Mr. Swilley’s deposition was postponed until February 19, 2026. Of course, no documents were produced, despite many, many attempts. Instead, on February 18, 2026, Mr. Swilley responded “Working to get them. Chinese new year is in so so info and communication with Honest trading limited as they shut down for this holiday.” RX0020 (Email regarding discovery).

The undersigned asked Mr. Swilley (who is not Chinese and is a resident of South Carolina) how Chinese New Year would affect his ability to produce his text messages and his agreements with Honest Trading and its illegal affiliate. Of course there was no response to this inquiry. RX0020 (Email regarding discovery).

The deposition was set to proceed the next day, February 19, 2026, at 11:00am. However, at 10:22am, Amanda Chubb from IWG emailed to advise that Mr. Swilley had another personal emergency and needed to reschedule the deposition which was to take place in half an hour.

In good faith, the undersigned agreed to reschedule the deposition. The undersigned continued to request the documents from IWG and was ignored. In fact, the only documents which were received (on February 23, 2026) was the “Operation Agreement” between IWG, Honest Trading, and Big Brother. Mr. Swilley stated that no text messages existed – despite multiple witnesses stating that that was how Mr. Swilley always communicated with Mr. Zhong.

And then we come the Opening Brief, which was required to be served on March 19, 2026, in accordance with the scheduling order entered on December 2, 2025. However, Complainants failed to either file their Brief or request additional time to do so. Nor did Complainants ever attempt to reach out to the undersigned regarding same. On March 20, 2026, the Presiding Officer entered an Order to Show Cause regarding the missing Opening Brief. IWG responded via email only with “thank you sorry I had a family emergency will get this out.”⁶

No response was provided by Honest Trading at all. Nevertheless, the Presiding Officer found good cause to be shown and gave Complainants until March 24, 2026 to file their Opening Brief.⁷ However, on April 1, 2026, the Office of Administrative Law Judges emailed Complainants, noting that the brief contained a number of embedded documents and ordered Complainants to re-submit same as a Supplemental Opening Brief. Complainants apparently did submit same – but did not bother to copy Respondent on the submission. The Office of the Secretary notified Respondent of this fact on April 10, 2026, and forwarded a courtesy copy of the submission.

Less than an hour later, however, the Presiding Officer entered an Order striking Complainant’s Opening Brief and requiring Complainants to refile same by April 24, 2026. In particular, the Presiding Officer held that Complainants’ Opening Brief did not comply with Paragraph 7 of the Initial Order in that the attachments were submitted via hyperlink and further that the documents were devoid of the required page numbers. *See Order Rejecting Complainants’*

⁶ The undersigned is sympathetic and understanding to family emergencies and similar issues. However, given the history as outlined herein, these excuses from IWG are just too often and too convenient to be credible.

⁷ It is noted that no representative of Honest Trading was copied on the emailed submission – or, indeed, on any submissions by Complainants.

Supplemental Opening Brief, and Requiring Complainants’ to Refile Opening Brief, at 1-2, Doc. No. 18.

The Presiding Officer also held that “Instead of complying with the Initial Order, or the OALJ’s instructions of April 1, 2026” Complainants just emailed the Office of the Secretary without copying opposing counsel. *Id.* at 2.

Additionally, the Order specifically called Complainants’ attention to the requirements of Paragraph 23 of the Initial Order (regarding page numbers, findings of fact, and appendices) and Paragraphs 24-30 of the Initial Order (describing the requirements of the appendix). *Id.* at 3.

On April 24, 2026, Complainants filed their amended Opening Brief and appendices. Yet, despite the crystal clear (and patient) instructions from the Presiding Officer, Complainants’ Opening Brief **still** fails to comply with the Initial Order, to wit:

- Complainants’ Proposed Findings of Fact cites to entire exhibits rather than specific pages. Paragraph 23(B) requires that “[e]ach factual proposition shall be followed by an exact citation to evidence that the party contends will support the proposed finding of fact; e.g., ***a page number*** in the appendix.” (emphasis added). Initial Order, ¶ 23(B), Doc. No. 6.
- Complainants’ unique prefix (CX-[number]) repeats the same number for **each** page of a single exhibit (and in some cases only part of an exhibit) rather than providing numbers sequentially for each individual page despite the requirement that “[t]he ***pages*** of the appendix shall be numbered sequentially with a unique prefix, for example CX 1, CX 2 for Complainant’s exhibits...”. *Id.* ¶ 25 (emphasis added).⁸

⁸ For example, CX1 (on the top left corner) does not represent page 1 of Exhibit 1, rather it represents the entire exhibit and is repeated on all ten (10) pages of Exhibit 1. Confusingly, on the

- With respect to Complainant’s CX-[number] citations, several are inexplicably missing from the table of contents and the appendices, namely, CX-46, CX-49, CX-51, CX-53, CX-55, CX-58, and CX-60-CX62.
- Several of the exhibits contain various documents compiled together despite the requirement in Paragraph 27 that the appendix “begin with a table of contents identifying the page at which each individual document begins.”⁹ *Id.* ¶ 27. This paragraph also mandates that “each exhibit should be clearly identified, for example, by a cover sheet or bookmark.” However, neither a cover sheet nor bookmark is provided for each of Complainants’ exhibits.
- Additionally, some of the exhibits are improperly labeled or the description does not match the document.¹⁰
- Lastly, some of the descriptions provided in appendices are so vague as to be useless. For example, CX-010 is simply described as “Supporting commercial/shipping docs”.

bottom left of each page Complainants’ also include another page identifier (IWG-APP-[letter]-[number]). However, Complainants never cite to any such page identifier anywhere in their submission!

⁹ As examples: CX-20 contains bills of lading, phytosanitary certificate, certificate of origin, commercial invoice, etc.; CX-24 contains three separate documents regarding the letter of credit; CX-37 contains statements from Hutchison Ports Thailand, a tax invoice from Hutchison Ports Thailand, and invoices from Yang Ming Line (Thailand) Co., Ltd.); CX-47 contains bills of lading, phytosanitary certificate, HSBC documents, commercial invoice, etc.

¹⁰ As examples: CX-32 is described as email correspondence and supporting documents but contains only documents from East West Bank regarding the letter of credit; CX-34 is described as shipment documentation and related correspondence but contains only 1 page of a two-page email correspondence; CX-35 is described as email correspondence and supporting documents but contains only HSBC documents; CX-39 is described as shipment-related communications and supporting records but contains only receipts for demurrage; CX-47 is identified as a timeline and assessment but also contains a compilation of shipping documents and email correspondence; CX-48 and CX-50 are identified separately but are two parts of the same email correspondence; CX-50 and CX-52 consist of the first 5 pages of a 12-page email under CX-50 but the remaining pages and a separate email correspondence are identified as CX-52.

The examples listed above and in the footnotes herein are not exhaustive but are rather a mere sampling to show Complainants' lack of compliance.

But this lack of compliance with the Rules and Orders are more than just technical deficiencies – it displays an utter lack of respect for this tribunal which has given Complainants more than their fair of opportunities to present their case.

Paragraph 28 of the Initial Order – to which Complainants were specifically directed – clearly sets forth that “References to a party’s appendix in briefing must match the bates stamp applied to the exhibit page.” As the Presiding Officer pointed out, these are not “idle” requirements – “[p]age numbers allow the parties and the reviewing tribunal to identify records clearly and quickly.” *See* Order Rejecting Complainants’ Supplemental Opening Brief, and Requiring Complainants’ to Refile Opening Brief, at 2-3, Doc. No. 18. With respect the appendix, the Presiding Officer again ruled that “[s]imilar to the requirement regarding page numbers, this requirement exists to allow the parties and the reviewing tribunal to pinpoint the key factual issues in the litigation, and line the facts up with supporting evidence.” *Id.* at 3.

Yet Complainants disregarded these Orders and multiple reminders, and filed their Opening Brief which contains absolutely no references whatsoever to any evidence, statement of fact, appendix or page numbers. The Proposed Findings of Fact then merely refers to a multitude of documents in the appendix without identifying a single page of evidence.

The Complainants apparently expect Respondent – and the Presiding Officer – to sort through each vaguely described exhibit to figure out what it pertains to and its purpose. Basically, to figure out Complainants’ case for them.

In short, Complainants have ignored all the Rules of the Commission, all discovery obligations, all deadlines in the Initial Order, all instructions provided by the Presiding Officer and

as set forth in the Initial Order, and have unnecessarily and improperly delayed this matter with questionable repeated excuses.

But in the end, Complainants' claim amounts to nothing more than their own disappointed commercial expectations with respect to a handful of shipments out of the over 40 shipments Schenker rendered services for.

For the reasons more fully set forth below, Complainants have failed to meet their burden of proof to maintain their § 41102(c) claim for reparations. Furthermore, Complainants' failed to provide any support for their alleged damages at all.

II. APPLICABLE LAW AND BURDEN OF PROOF

Under 46 U.S.C. § 41102(c), “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” By its terms, 46 U.S.C. § 41102(c) applies only to “regulations and practices.” Moreover, as stated in the Interpretative Rule, codified at 46 C.F.R. § 545.4, the term “practice” means only acts or omissions that occur on a “normal, customary, and continuous basis.”

Under § 545.4, a complainant must prove five elements to establish a successful § 41102(c) claim for reparations: a) The respondent must be an ocean common carrier, marine terminal operator, or ocean transportation intermediary;¹¹ b) The “claimed acts or omissions” must occur on a “normal, customary, and continuous basis;” c) The practice or regulation relates to or is connected with “receiving, handling, storing or delivering property;” d) The practice is unjust or

¹¹ Respondent does not dispute that it was and is a licensed NVOCC and performed NVOCC services on behalf of IWG and Honest Trading, including for the subject transactions. Respondent denies that it acted as an ocean freight forwarder for any of the subject shipments, however.

unreasonable; and e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4; *see also Crocus Investments, LLC & Crocus, Fze, v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *8-12 (FMC Aug. 18, 2021) (discussing whether the Complainants met their burden of proof).

“The essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction . . .”. *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 181, 200-01 (FMC 1964); *see also Josh Anyaosah v. Nidsan Shipping, Inc.*, Docket No. 2031(I), 2026 WL 254007, at *5 (SCO Jan. 20, 2026) (“In short, § 41102(c) does not create a remedy for a one-time unreasonable act.”); *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited.*, Docket No. 24-17, 2024 WL 4893409, at *5 (ALJ Nov. 18, 2024) (explaining that the requirement “is to plead sufficient facts to show a pattern of behavior, rather than an isolated error, occasional transaction, or one-shot occurrence.”).

III. DISCUSSION

a. Complainants have failed to demonstrate that Schenker’s conduct occurred on a “normal, customary, and continuous basis” to establish a practice or regulation.

The Commission’s precedent and guidance is clear that, in order to prevail, Complainants must prove that the conduct alleged was the result of unreasonable practices and procedures. The Commission’s Interpretive Rule published on December 17, 2018, explains:

Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo. In drafting the 1916 Act, and through its revisions and reenactment in 1984, Congress chose the word “practice” and the phrase, “establish, observe, and enforce just and reasonable regulations and practices,” to describe actions or omissions engaged in on a normal, customary, and continuous basis. From its origin and as recently as 2001, § 41102(c) was interpreted in line with this understanding. To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting

business. This understanding as to what constitutes “regulations and practice” under the Shipping Act is supported by multiple accepted rules of statutory construction.

FMC Docket No. 18-06, *Interpretive Rule, Shipping Act* (Final Rule) (December 17, 2018), 83 FR 64478-01. Yet, Complainants’ entire “proof” boils down to five (5) shipments—out of 44—that Complainants were essentially dissatisfied with Schenker’s services. Complainants wholly fail to identify a single practice or procedure of Schenker which caused any alleged delay or charge. Rather, Complainants’ Opening Brief alleges separate and distinct issues with each of the shipments (*see* Complainants’ Br. at 2-4) and the exhibits in the appendices demonstrate that Complainants repeatedly requested changes to documents resulting in delays and/or failed to provide clear instructions which ultimately delayed the finalization and delivery of the documents and release of the cargo. To be clear, the shipments that are the subject of the instant proceeding are only a handful of the shipments handled by Schenker on behalf of Complainants. In fact, Schenker provided services to Complainants for 39 of 44 shipments without any issue.

Ultimately, Complainants’ evidence is comprised of separate and distinct issues relating to five (5) shipments out of the total 44 that Schenker provided services to Complainants for. *See* RPFF ¶¶ 6-7.

Yet, it is well-established that a handful of incidents is not sufficient to demonstrate that the alleged conduct was committed on a “normal, customary, and continuous basis.” In *European Trade Specialists*, the Commission held that the complainant had not made out a violation, because it did not establish that the alleged wrongful act was a practice, regularly followed with respect to shippers in general (not just complainant). *European Trade Specialists v. Prudential-Grace Lines*, Docket No. 74-8, 19 S.R.R. 59, 63 (FMC Mar. 20, 1979). In this respect, the Commission stated that, unless the respondent’s “normal *practice* was not to notify the shipper, such adverse action cannot be found to violate the section as a matter of law.” 19 S.R.R. at 63 (emphasis in original

and emphasis added).

In the FMC's Interpretive Rule, the Commission cited to several FMC and federal court decisions describing the requirements for finding a violation of § 41102(c), among them was the case *Whitam v. Chicago, R.I. & P. Ry. Co.* In *Whitam*, the court emphasized that a "practice" typically must involve not only repetition, but also application to multiple customers. *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F. Supp. 1014, 1017 (N.D. Tex. 1946). As the court explained: "The word 'a practice' as used . . . anywhere properly, implies systematic doing of the acts complained of, and usually as applied to carriers and shippers generally." *Whitam*, 66 F. Supp. at 1017. Of particular note, the court concluded that "[s]pecific acts of violation of this rule do[] not constitute a 'practice.'... As far as plaintiff's pleadings go, no other shipper was mentioned or involved...." *Id.*; see also, e.g., *McClure v. Blackshere*, 231 F. Supp. 678, 682 (D. Md. 1964) ("Practice ordinarily implies uniformity and continuity,... and uniformity and universality, ... must characterize the actions on which a practice is predicated."); *J.C. Francesconi v. Baltimore & O. R. Co.*, 274 F. 687, 690-91 (S.D.N.Y. 1921) (concluding that defendant's actions were "not uniform," which precluded the court from finding a practice; stating that "[o]ccasional and **even common** assertions of right do not make such a practice. Its essence is uniformity.") (emphasis added).

Here, there is no such uniformity or pattern alleged by Complainants. Rather, the Opening Brief alleges distinct issues for each of the subject shipments. See Complainants' Br. at 2-3. Commission precedent is clear that a handful of separate and distinct incidents cannot constitute a violation of the Shipping Act without also finding that those incidents all arose from conduct that occurred on a normal, customary, and continuous basis. See *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, Docket No.17-02, 1 F.M.C.2d 262, 262 (FMC Mar. 7, 2019).

In *Hangzhou*, the Commission vacated the Initial Decision and remanded because while the Presiding Officer noted that the respondent released cargo without receiving an original bill of lading for three shipments, “the ALJ did not consider whether Respondent’s conduct occurred on a normal, customary, and continuous basis.” *Id.* On remand, the Presiding Officer found that while the evidence may have demonstrated unjust and unreasonable actions by the respondent with regard to the three shipments, it did not show unjust and unreasonable acts on other occasions involving different transportation agreements, shippers, or consignees. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, Docket No. 17-02, 2019 WL 6124914, at *12 (ALJ Nov. 7, 2019), *aff’d* 2 F.M.C.2d 168 (FMC Sept. 1, 2020). Thus, the Presiding Officer found that the evidence of unjust and unreasonable acts by the respondent did not rise to a level constituting a “regulation and practice” as described by the Commission. *Id.*

Similarly, here, assuming *arguendo* that Complainants’ evidence could be used to prove that Schenker committed unjust and unreasonable actions in connection with the subject shipments (which is denied), the evidence does come anywhere close to establishing that it was “normal” for Schenker to do so. In fact, as both Craig Swilley (the principal of IWG) and Marchin Marande (employee for IWG) readily admitted, Schenker provided services to Complainants between 2024-2025 on 39 out of the 44 shipments without issue. See RPF 6-7. Separate and distinct issues with five (5) shipments of one shipper over a few months does not present as “customary” or “continuous” conduct as those terms are interpreted by the Commission. See *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, Docket No. 17-02, 2 F.M.C.2d 168 (FMC Sept. 1, 2020); see also *Crocus Investments*, Docket No. 15-04, 2021 WL 3732849, at *12 (affirming the ALJ’s finding that two instances were not sufficient to constitute a practice).

Importantly, the complete absence of evidence that Schenker acted unreasonably with

respect to shipments of other shippers is also significant. *See Hangzhou*, 2 F.M.C.2d at 173 (citing 83 Fed. Reg. at 64479) (noting that the Commission’s interpretation of § 41102(c) in the Final Rule “returns the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public”); *Whitam*, 66 F. Supp. at 1017 (finding significant, in interpreting the term “practice,” that plaintiff alleged “an individual matter between himself and the defendants”).

As noted by the Commission in *Crocus Investments*, “[e]ven six instances of ‘unreasonable conduct’ carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was ‘uniform or continuous’ under § 41102 (or its predecessor, section 17 of the Shipping Act).” *Crocus Investments*, Docket No. 15-04, 2021 WL 3732849, at *8 (citing *Stockton Elevator*, 8 F.M.C. at 200-201); *see Muzorori v. Canada State Africa Lines, Inc.*, Docket No. 1949(F), 2016 WL 3922397 (FMC July 14, 2016) (Khouri, Commissioner dissenting). “The essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction . . .”. *Stockton Elevators*, 8 F.M.C. at 201.

To be clear, Schenker completed services in connection with 39 shipments on behalf of Complainants between 2024-2025 without any complaint at all, let alone the conduct described in Complainants’ Brief. *See* RPF ¶¶ 6-7. Further, Complainants’ Brief is devoid of any evidence that Schenker acted in the way described with respect to shipments of other shippers. As such, Complainants’ have failed to meet their burden of proof to demonstrate that the alleged unjust and unreasonable acts by Schenker occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under section 41102(c) interpretive rule.

b. Schenker’s conduct was neither unjust nor unreasonable.

Complainants’ readily acknowledge in the Opening Brief that they bear the burden to prove

that Schenker’s “actions (or lack thereof) were ‘unreasonable’ given the industry standards for documentation and communication.” Complainants’ Br. at 4. The language of Section 502.214(c) is clear that the Argument section must be “based upon principles of law with appropriate citations of the authorities relied upon.” 46 C.F.R. § 502.214(c). Yet, Complainants fail to cite to a single FMC decision or court case in support of their argument section. To be clear, Complainants do not even state what the ‘industry standards’ are, let alone introduce any evidence whatsoever via an expert opinion, reference to a website, treatise, testimony or otherwise.

Complainants’ Brief asserts four reasons to support their position that Schenker’s conduct was unjust and unreasonable—again without ever citing to an FMC decision or court case. Essentially, the argument section consists of nothing more than conclusory self-serving statements.

First, Complainants’ point to an incident on one shipment where an employee of Schenker purportedly was unaware of mandatory requirements in connection with a Letter of Credit. However, context is important. Complainants were fully aware that only the Original Bill of Lading was sent on April 4, 2025, because Schenker expressly stated as such in an email communication. *See* CX-68 (IWG-APP-E-0021-22); RPFF ¶ 21.¹² Further, even if Schenker had included the Commercial Invoice and Packing List in the April 4 package, on April 16, 2025, IWG sent an email stating “SORRY FOR THE CONFUSION THE CORRECT COMMERCIAL INVOICE ATTACHED... This one to go out with the mailed docs”. *See* CX-68 (IWG-APP-E-0014); RPFF ¶ 22; RCPFF ¶ 5. Later that same day, IWG sent another email stating “I am sending

¹² As noted, the Complainants’ unique prefix (CX-[number]) repeats the same number for each page of a single document rather than providing a different number for each individual page of the appendix in violation of the Initial Order, therefore for sake of clarity Respondent also includes the page identifier (IWG-APP-[letter]-[number]). However, as previously noted, Complainants at no time in their briefing referred to any such page identifiers.

you some other docs that need to go to the bank...” and requested a change be made to the drafted documents. *See* CX-68 (IWG-APP-E-0013); RPF ¶ 22. IWG even apologized for requesting changes so late, stating “Sorry this was not caught”. *See* CX-67 (IWG-APP-E-0012). Schenker worked quickly to make the changes requested and ultimately mailed these documents to the bank on April 17, 2025, less than 24 hours after IWG requested changes to be made and approved of the documents. *See* CX-67 (IWG-APP-E-0008) - (IWG-APP-E-0009); RPF ¶ 23. At minimum, these emails demonstrate Complainants’ own administrative negligence rather than unjust or unreasonable conduct by Schenker.

Next, Complainants assert that there was a 21-day period (between February 25, 2025, and March 18, 2025) wherein Schenker did not communicate with IWG regarding a particular shipment. However, Complainants fail to cite to even one instance where this type of situation was found to constitute unjust or unreasonable conduct by the FMC (or any court). It is noted that Schenker did respond on March 19, 2025, providing the drafted documents requested. A mere lag in communication is not sufficient to constitute unjust and unreasonable conduct. *See Sameh Elawamry. v. CMA CGM (America) LLC*, Docket No. 2007(I), 2024 WL 4491609, at *17 (SCO Oct. 7, 2024).

Further, Complainants vaguely assert that Schenker’s “loss of the original Phytosanitary Certificate necessitated a time-consuming reissuance process...”. Complainants’ Br. at 4. Given that Complainants cite to no evidence to support the statement nor specify which of the five (5) shipments Complainants are referring to, Schenker has no way of properly addressing this statement except to say it denies the unsupported allegation. However, even assuming *arguendo* that the allegation is true, one-time errors are not sufficient to support a § 41102(c) claim. *See Josh Anyaosah*, Docket No. 2031(I), 2026 WL 254007, at *5 (“In short, § 41102(c) does not create a

remedy for a one-time unreasonable act.”); *Samsung Electronics America, Inc.*, Docket No. 24-17, 2024 WL 4893409, at *5 (explaining that the requirement “is to plead sufficient facts to show a pattern of behavior, rather than an isolated error, occasional transaction, or one-shot occurrence.”)

Lastly, Complainants argue that Schenker’s conduct was unjust and unreasonable because, for a separate shipment, Schenker misrouted original Letter of Credit documents directly to the buyer’s bank. Again, context is everything. In this instance, Schenker specifically asked for the address where the original documents should be sent, stating that it would “create UPS label and send these to go out...”. *See* RPFF ¶ 20; RCPFF ¶ 8. The HSBC Bank Beijing Branch address was provided and Schenker sent the documents to that address. *See id.* Schenker also provided IWG with the UPS tracking, which showed the intended destination. *See id.*

Thus, Complainant’s fail to meet their burden as to this element.

c. Schenker’s conduct is not the proximate cause of Complainants’ alleged loss.

Complainants “must prove with ‘competent evidence’ that [they] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, Docket No. 96-05, 29 S.R.R. 119, 187 (FMC June 1, 2001) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)). Although the Commission will rely on reasonable estimations “when precise evidence measuring financial injury is unavailable because of the nature of the violation,” “alleged damages based on unreliable or speculative evidence are not allowed.” *Rose Int’l, Inc.*, 29 S.R.R. at 197 (quoting *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991)) (internal quotation marks omitted). “The proximate cause of an injury is the primary moving cause without which it would not have been inflicted, but which, in the natural and probable sequence of events and without the intervention of any new or independent cause,

produces the injury.” *USL Auto Exporting Inc. v. Easy Shipping Corporation*, Docket No. 23-13, 2025 WL 1181598, at *21 (ALJ Apr. 16, 2025) (citing *City of Winona v. Botzet*, 169 F. 321, 328 (8th Cir. 1909)).

In the Opening Brief, Complainants assert, in a purely conclusory fashion, that “[a]s a direct result of these delays, lost certificates, and misrouted documents,” “the total injury amounts to \$805,547.98, which includes carrier demurrage/detention, storage fees, and forced price reductions granted to buyers to prevent total contract cancellation.” Complainants’ Br. at 2-3.

Complainants’ entire section on the issue of damages (titled “Resulting Financial Damages”), is wholly devoid of any reference to factual or legal citations to support Complainants’ claim that they suffered an actual loss and that Schenker’s actions/inactions were the proximate cause of that loss. *See id.* at 3. Further, Complainants’ Proposed Findings of Fact also fails to assert any factual allegations with respect to the alleged sum of damages, essentially requiring Respondent (and the Presiding Officer) to sort through Complainants’ seven separate appendices for whatever evidence may support their claims.

The only record evidence provided by Complainants at all as to the alleged damages is a spreadsheet—created by Complainants—identified as Appendix F. *See* CX-072 (IWG-APP-F-0001). A cursory review of the spreadsheet reveals nonsensical amounts identified under the Loss column for each shipment with no coherent explanation on how that sum was reached or reference to any evidence to support same. *See id.* The spreadsheet also contains an Adjustments/Notes column, but the information contained therein does not provide a reasonably understandable description as to Complainants’ calculation method. *See id.* Without this, it is literally impossible for Respondent to address or provide counter-evidence regarding the specific sums alleged.

Complainants’ vaguely identify the source of their alleged injury as “carrier

demurrage/detention, storage fees, and forced price reductions granted to buyers to prevent total contract cancellation” Complainants’ Br. at 3.

With respect to demurrage/detention fees, IWG’s principal admitted that (1) Schenker did not bill either of the Complainants for any demurrage for the subject shipments (*see* RPFF ¶ 10), and (2) the buyer—not Complainants—was responsible for the detention and demurrage assessed by the shipping line for the subject shipments (*see* RPFF ¶ 11).

As for storage fees, IWG’s principal again admitted that the Complainants were not assessed any charges for the storage of the subject shipments and it was their buyer who was responsible for paying such fees. *See* RPFF ¶¶ 11, 13. Further, although the buyer forwarded the invoices related to detention, demurrage, and storage to Complainants, Complainants did not pay any sums to the buyer. *See* RPFF ¶¶ 14-15.

Lastly, regarding “forced price reductions granted”, while Mr. Swilley claims that IWG agreed to deduct the sums paid by the buyer off future shipments, these future shipments never occurred as the Complainants and the buyer mutually agreed to terminate the agreement. *See* RPFF ¶ 18. To be clear, based on Mr. Swilley’s own statements, Complainants were not responsible for detention, demurrage, or storage charges for the subject shipments, Complainants’ did not pay for any such charges either directly to the shipping line nor indirectly to their buyer, and the agreed reductions on future shipments never occurred.

Although Complainants do not address loss profits, lost cargo value, nor administrative costs as part of the alleged damages in their section on damages (*see* Complainants’ Br. at 3), the “Conclusion” section includes under “Actual Reparations” lost cargo value and administrative costs (*see* Complainants’ Br. at 5) and the spreadsheet—created by Complainants—in Appendix F references estimated lost profits in the amount of \$650,000 for a contract with BNBMG valued

at \$3,595,200. *See* CX-072 (IWG-APP-F-0001). First, pursuant to the terms of the Operation Agreement between Big Brother¹³ and Complainants, Big Brother purchased the goods involved in the subject shipments. *See* RPFF ¶¶ 1-2. Yet, even though Honest Trading did not purchase the goods, Honest Trading was named as the seller on the sales contracts with BNBMG. CX-014 (IWG-APP-A-0076); *see also* RPFF ¶ 3. During his deposition, Mr. Swilley was unable to explain how ownership of the goods was transferred between Big Brother and Honest Trading. *See* RPFF ¶ 4. Additionally, none of the documents included in Complainants' appendices evidence the value of the cargo, either with documents as to the original purchase by Big Brother nor the transfer/sale from Big Brother to Honest Trading, nor any claimed administrative costs. In fact, Mr. Swilley testified that IWG had no such documents showing monies received or paid. *See* RPFF ¶ 5.

Next, the sales contract produced by Complainants expressly stipulates a total value of \$107,100.00—nowhere near the amount alleged of over \$3.5 million. *See* RPFF ¶ 16. When questioned about the whereabouts of contract allegedly valued at \$3.59 million, Mr. Swilley testified “we have to find that contract,” and to date no such contract has been produced by Complainants. *See* RPFF ¶ 26.

Further, the termination of the agreement between Complainants and BNBMG specifically references sales contract number 2025-BNBMG-0120, which is the sales contract valued at only \$107,100.00. *See* RPFF ¶¶ 16, 18.

Finally, IWG's principal conceded that that contract was not mandatory and the buyer could have terminated the contract at any time. *See* RPFF ¶ 17. Mr. Swilley also admitted that the contract was not cancelled but in fact was mutually terminated by both parties. *See* RPFF ¶ 18.

¹³ Big Brother is not a party to this litigation, and no witness could describe its relationship with Honest Trading.

Yet, somehow, Complainants claim that they are entitled to lost profits of \$650,000 as a result of Schenker's actions which caused the buyer to terminate the contract. *See* CX-072 (IWG-APP-F-0001). Complainants have not only wholly failed to establish any actual damages suffered, but their frivolous claim lacks any indicia of merit at all.

Complainants' lack of evidence as to damages is not surprising as this entire proceeding is merely a thinly veiled attempt to avoid paying invoices due and owing to Schenker for services unrelated to the subject shipments. In IWG's Interrogatory responses, IWG admitted to owing Schenker over \$140,000 in connection with services rendered by Schenker. *See* RPFF ¶ 27. Mr. Swilley expressly admitted that the invoices issued prior to January 18, 2025, did not pertain to the subjects shipments at issue. *See* RPFF ¶ 28. When asked why Complainants have not paid the outstanding invoices, Mr. Swilley admitted that it was due to a cash flow issue and was not related to any issues with Schenker's services. *See* RPFF ¶ 29.

Furthermore, besides the unsupported conclusory statements, Complainants do not address at all how Schenker's actions/inactions were the proximate cause of their alleged loss. As set forth above, a review of the record evidence demonstrates that it was in fact Complainants' own administrative negligence rather than any unjust or unreasonable conduct by Schenker that caused issues with the subject shipments. It was Complainants who failed to provide proper instructions on what documents they expected to be delivered in the bank courier for Shipment #2154787640. *See* RCPFF ¶ 5. It was Complainants who repeatedly requested changes be made to the shipping documents for Shipment RICFE2007400. *See* RCPFF ¶ 6. It was Complainants' customer, with Complainants on the email communications, who instructed Schenker to deliver the shipping documents to the buyer's bank in Beijing. *See* RCPFF ¶ 8; RPFF ¶ 20. It was Complainants who failed to instruct Schenker that they expected Schenker to endorse the bills of lading for the subject

shipments. *See* RCPFF ¶ 9. These are just to name a few of Complainants' actions/inactions, which created the issues that are the subject of the instant proceeding. Without any proof of actual damages to Complainants or an explanation as to the causal link between Schenker's conduct and the alleged injury, Complainant's fail to meet their burden as to this element.

The instant claim fails in its entirety because **all** elements of the interpretive rules are required to be proved for successfully establishing a section 41102(c) claim for reparations and Complainants have failed in that respect. *Crocus Investments, LLC and Crocus, Fze, v. Marine Transport Logistics, Inc. and Aleksandr Solovyev A/K/A Royal Finance Group Inc.*, Docket No. 15-04, 2020 WL 7633362, at *20 (ALJ Dec. 9, 2020). Thus, Complainants' claim must be dismissed.

IV. CONCLUSION

As more fully set forth above, Complainants' Brief lacks the factual evidence and supporting case law to support their claim and has failed to meet their burden of proof to sustain a viable claim against Schenker. Thus, Complainants' claim for reparations must be denied and dismissed.

Dated: May 22, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I **HEREBY CERTIFY** that a true and correct copy of the forgoing was served on May 22, 2026, via electronic mail, which shall notify all parties of record on this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.